

25STCV15907 25STCV15907

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Case Number: 25STCV15907 Hearing Date: July 1, 2026 Dept: 617

Dept.

617

Date:

7-1-26

Case

#: 25STCV15907

Trial

Date: None Set

COMPEL ARBITRATION

MOVING

PARTY: Defendant, Los Angeles Truck Service, LLC dba Velocity Vehicle Group

RESPONDING

PARTY: Plaintiff, Joshua Gonzalez

RELIEF

REQUESTED

Motion

to Compel Arbitration and Stay Action

SUMMARY

OF ACTION

Plaintiff

Joshua Gonzalez, on behalf of himself and current and former aggrieved employees, filed the instant PAGA action against Defendant Los Angeles Truck Service, LLC alleging wage and hour violations.

RULING: Granted.

Evidentiary

Objections: Overruled.

Defendant

moves to compel arbitration of Plaintiff's individual PAGA claim under a prior court order in Plaintiff's class action suit and the Dispute Resolution Agreement (Agreement) between the parties. Defendant also seeks sanctions against Plaintiff and his counsel of record for fees and costs incurred in bringing the motion. Plaintiff opposes the motion, arguing that the class action order did not compel arbitration of PAGA claims, the Agreement is unconscionable, and sanctions are unwarranted. As an initial matter, the Court declines to compel arbitration based on the order in the class action suit because that order does not require Plaintiff to arbitrate his PAGA claim. The analysis is therefore focused on challenges to the Agreement. Although the Agreement contains certain unconscionable provisions, these provisions are severable and Defendant's motion is granted.

"A

written agreement to submit to arbitration an existing controversy or a controversy thereafter arising is valid, enforceable and irrevocable, save upon such grounds as exist for the revocation of any contract." (Code Civ. Proc., § 1281.) "On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party thereto refuses to arbitrate such controversy, the court shall order the petitioner and the respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists, unless it determines that: (a) The right to compel arbitration has been waived by the petitioner; or (b) Grounds exist for the revocation of the agreement." (Id. § 1281.2.)

Defendant moves to compel arbitration under the Federal Arbitration Act (FAA). The Agreement explicitly states that it is governed by the FAA. [Montano Decl. ¶ 8, Ex. A, p. 2.] This is sufficient to invoke

application of the FAA to the arbitration agreement. (*Victrola 89, LLC v. Jaman Properties 8 LLC* (2020) 46 Cal.App.5th 337, 355.) While the FAA

governs the rules for conducting arbitration, barring citation to a case

precluding California law, motions to compel arbitration are still governed by

California law. (*Adolph v. Uber Technologies, Inc.* (2023) 14 Cal.5th

1104, 1119; *Viking*

River Cruises, Inc. v. Moriana (2022) 596 U.S. 639, 653; *Volt Information Sciences, Inc. v. Board of Trustees of Leland*

Stanford Junior University (1989) 489 U.S. 468, 477-79; *Victrola 89, supra*, 46

Cal.App.5th at p. 346.)

The law creates a general presumption in favor of

arbitration. In a motion to

compel arbitration, the moving party must prove by a preponderance of evidence

the existence of the arbitration agreement and that the dispute is covered by

the agreement. The burden then shifts to the resisting party to prove by a

preponderance of evidence a ground for denial (e.g., fraud, unconscionability,

etc.). (*Rosenthal v. Great Western Fin'l Securities Corp.* (1996) 14

Cal.4th 394, 413-14; *Hotels Nevada v. L.A. Pacific Ctr., Inc.* (2006) 144

Cal.App.4th 754, 758.) Any challenges to the formation of the arbitration agreement

should be considered before any order sending the parties to arbitration. The trier of fact weighs all evidence, including

affidavits, declarations, documents, and, if applicable, oral testimony to

determine whether the action goes to arbitration. (*Hotels Nevada, supra*,

144 Cal.App.4th at p. 758.)

The moving party

bears the initial burden of producing "prima facie evidence of a written

agreement to arbitrate the controversy." (*Gamboa v. Northeast*

Community Clinic (2021) 72 Cal.App.5th 158, 165.) This burden may be met "by attaching to the [motion or]

petition a copy of the arbitration agreement purporting to bear the [opposing

party's] signature" or "setting forth the agreement's provisions in the

motion." (*Id.* at p. 165.) If

the opposing party disputes the agreement, then the burden shifts to the

opposing party to produce "evidence to challenge the authenticity of the

agreement." (*Ibid.*) The opposing party can do this by testifying under

oath or declaring under penalty of perjury "that the party never saw or does

not remember seeing the agreement, or that the party never signed or does not

remember signing the agreement." (*Ibid.*) If the opposing party meets its

burden, the burden then shifts to the moving party to "establish with

admissible evidence a valid arbitration agreement between the parties." (*Ibid.*)

"The burden of proving the agreement by a preponderance of the evidence remains

with the moving party.” (Id. at p. 166).

Defendant has proven the existence of an agreement to arbitrate Plaintiff's PAGA claim. It attaches to the motion a copy of the Agreement containing Plaintiff's electronic signature. [Montano Decl. ¶ 8, Ex. A, p. 3.] The Agreement covers Plaintiff's claim because it provides that individual claims under PAGA are subject to arbitration. [Id. at p. 1.] Plaintiff presents no challenge to the authenticity of the Agreement. The attention thus turns to Plaintiff's defenses to enforcement of the Agreement.

Plaintiff challenges the arbitration agreement as unconscionable. He argues the Agreement is procedurally unconscionable because it is a contract of adhesion, he could only access it via his company email address while at work, he signed it within a minute, he did not understand many of its terms and no one explained them to him, and the Agreement misleadingly suggests that an attorney is not necessary for arbitration. Plaintiff contends the Agreement is substantively unconscionable because, when read together with other onboarding documents, it lacks mutuality, violates the Labor Code, unlawfully restrains competition and chills future employment, and provides for an unlawful attorneys' fees award.

Unconscionability claims have both a procedural and substantive element. (Stirlen v. Supercuts, Inc. (1997) 51 Cal.App.4th 1519, 1531.) “Procedural unconscionability” concerns the manner in which the contract was negotiated and the circumstances of the parties at that time. (Kinney v. United HealthCare Services, Inc. (1999) 70 Cal.App.4th 1322, 1329.) “The procedural element focuses on two factors: “oppression” and “surprise.” “Oppression” arises from an inequality of bargaining power which results in no real negotiation and an absence of meaningful choice. “Surprise” involves the extent to which the supposedly agreed-upon terms of the bargain are hidden in the prolix printed form drafted by the party seeking to enforce the disputed terms.” (Stirlen, supra, 51 Cal.App.4th at p. 1532.) “Substantive unconscionability” involves contracts leading to “overly harsh” or “one-sided” results. (Ibid.) “[U]nconscionability turns . . . on an absence of justification for it” and therefore “must be evaluated as of the time the contract was made.” (Ibid.)

There is minimal procedural unconscionability. A “low level” of procedural unconscionability exists given

the adhesive nature of the contract. (Alvarez v. Altamed Health Services Corp. (2021) 60 Cal.App.5th 572, 591.) The circumstances surrounding Plaintiff's opportunity to review the Agreement confirm the low degree of procedural unconscionability. Plaintiff had 11 days to review and sign the Agreement. [Montano Decl. ¶ 13, Ex. B.] This provided Plaintiff ample opportunity to review the Agreement, print it and consult with an attorney, and present questions to Human Resources. [Id. ¶ 12.] Plaintiff's signing of the Agreement within one minute of viewing it is reflective of his own decision to not read its terms rather than sharp practices by Defendant. [Id. ¶ 13, Ex. B.] And contrary to Plaintiff's claim, the Agreement does not state that an attorney is unnecessary for arbitration. Instead, it states that he is not required to have an attorney to participate in arbitration. [Id. ¶ 8, Ex. A, p. 2.] This is a legally correct statement. (Cf. Velarde v. Monroe Operations, LLC (2025) 111 Cal.App.5th 1009, 1015-16 [HR manager misinformed employee that arbitration agreement gave employer power to resolve disputes without parties having to pay for lawyers].) Thus, a low degree of procedural unconscionability exists.

In assessing substantive unconscionability, the Court reads the Agreement together with the Offer Letter and Employee Confidentiality and Non-Disclosure Agreement (NDA). Under Civil Code section 1642, "[s]everal contracts relating to the same matters, between the same parties, and made as parts of substantially one transaction, are to be taken together." The writings need not be contracts or executed on the same day. (Cadigan v. American Trust Co. (1955) 131 Cal.App.2d 780, 786-87.) The Offer Letter, NDA, and Agreement are parts of a single transaction because they govern the employment relationship between Plaintiff and Defendant. (See Alberto v. Cambrian Homecare (2023) 91 Cal.App.5th 482, 490-91 [arbitration and confidentiality agreements read together because they both governed how to resolve disputes arising from employment].)

Reading these writings together, the Agreement is substantively unconscionable. While Defendant is required to arbitrate breaches of the NDA under both the Agreement and NDA [Montano Decl. ¶ 8, Ex. A, p. 1; Gonzalez Decl. ¶ 4, Ex. 2, p. 8 [NDA is "[s]ubject to any applicable arbitration agreement"]], the NDA lacks mutuality because it waives Defendant's need to show irreparable harm and precludes Plaintiff from raising an adequate remedy at law as a defense. [Gonzalez Decl. ¶ 4, Ex. 2, p. 7.] Plaintiff is not provided a similar benefit when he is seeking injunctive relief. These provisions thus "exceed the legitimate 'margin of safety' for the employer and are not mutual." (Alberto,

supra, 91 Cal.App.5th at p. 492.)

Substantive unconscionability also exists because the NDA violates Labor Code section 232. “A facially illegal provision, in direct contravention of the Labor Code, is unconscionable.” (Alberto, supra, 91 Cal.App.5th at p. 493.) Under section 232, an employer may not require “as a condition of employment, that an employee refrain from disclosing the amount of his or her wages” or that the employee “sign a waiver or other document that purports to deny the employee the right to disclose the amount of his or her wages.” (Lab. Code, § 232, subds. (a)-(b).) Here, the NDA violates this provision because it designates as “Confidential Information” information related to current and former employees’ “compensation.” [Gonzalez Decl. ¶ 4, Ex. 2, pp. 2-3.] Though a carve-out exists for wage discussions with “other employees,” there is no similar exception for communications with former employees or counsel. [Id. at p. 5.] The NDA thus impedes Plaintiff’s ability to investigate facts for use in a PAGA action. (Alberto, supra, 91 Cal.App.5th at p. 493.)

Finally, substantive unconscionability is further present due to the Offer Letter’s fees provision. The Offer Letter incorporated by reference the initial Dispute Resolution Agreement and under Civil Code section 1642 can likewise be read to incorporate the later Agreement at issue. [Gonzalez Decl. ¶ 3, Ex. 1.] The provision does not account for situations where an employee successfully presents arguments warranting severance of unconscionable provisions, but arbitration is otherwise compelled. Faced with the threat of fees even for such partial success, an employee might refrain from exercising the right to challenge the enforceability of the Agreement. (Ramirez v. Charter Communications, Inc. (2024) 16 Cal.5th 478, 508-09.)

There is no substantive unconscionability, however, due to any violation of Labor Code section 232.5 or Business and Professions Code section 16600. Labor Code section 232.5 prohibits an employer from requiring an employee to refrain from disclosing information about the employer’s working conditions. (Lab. Code, § 232.5, subds. (a)-(b).) This encompasses physical working conditions like safety hazards in the workplace. (See, e.g., Zirpel v. Alki David Productions, Inc. (2023) 93 Cal.App.5th 563, 567-68, 577 [employee fired for reporting plumbing and electrical violations at theater].) There is no provision in the NDA forbidding Plaintiff from disclosing such information. There is no violation of the Business and Professions Code because although Plaintiff cannot use Confidential Information to solicit business from

Defendant's clients after termination, this does not restrain him from engaging in his chosen profession. (See *AMN Healthcare, Inc. v. Aya Healthcare Services, Inc.* (2018) 28 Cal.App.5th 923, 939 [nonsolicitation of employee provision void because it restrained recruiters from recruiting].)

Because of the presence of some degree of both procedural and substantive unconscionability, the next inquiry is whether the unconscionable provisions may be severed. "If a contractual clause is found unconscionable, the court may, in its discretion, choose to do one of the following: (1) refuse to enforce the contract; (2) sever any unconscionable clause; or (3) limit the application of any clause to avoid unconscionable results." (Ramirez, *supra*, 16 Cal.5th at p. 513; Civ. Code, § 1670.5, subd. (a).) "At the outset, a court should ask whether 'the central purpose of the contract is tainted with illegality.'" (Ramirez, *supra*, 16 Cal.5th at p. 516.) "If so, the contract cannot be cured, and the court should refuse to enforce it. If that is not the case, the court should go on to ask first, whether the contract's unconscionability can be cured purely through severance or restriction of its terms, or whether reformation by augmentation is necessary." (Ibid.) "If no 'reformation is required,' the offending provision can be severed or limited, and 'the rest of the arbitration agreement left intact,' then severance or restriction is the preferred course for provisions that are collateral to the agreement's main purpose." (Ibid.) If augmentation is required to cure the unconscionability, then the contract is unenforceable as courts cannot "rewrite agreements and impose terms to which neither party has agreed." (Ibid.)

"Even if a contract can be cured, the court should also ask whether the unconscionability should be cured through severance or restriction because the interests of justice would be furthered by such actions." (Ramirez, *supra*, 16 Cal.5th at p. 516.) This focuses on "whether mere severance of the unconscionable terms would function to condone an illegal scheme and whether the defects in the agreement indicate that the stronger party engaged in a systematic effort to impose arbitration on the weaker party not simply as an alternative to litigation, but to secure a forum that works to the stronger party's advantage." (Id. at pp. 516-17.) "If the answer to either question is yes, the court should refuse to enforce the agreement." (Id. at p. 517.)

Severance of the unconscionable provisions is appropriate. The central purpose of the Agreement is not tainted

with illegality because the unconscionable provisions are limited to certain terms providing Defendant with an unequal advantage in obtaining injunctive relief, prohibiting Plaintiff from discussing wages with individuals other than current employees, and awarding Defendant fees for enforcing the Agreement. Unconscionability can be cured by severing these provisions from the Agreement. There is no indication that severance would condone an illegal scheme of Defendant or that Defendant included the offending provisions to create an inferior forum for the resolution of Plaintiff's claims. The Court therefore severs the unconscionable provisions from the Agreement.

Defendant's motion is therefore granted. Plaintiff's individual PAGA claim is to be arbitrated.

"If a court of competent jurisdiction, whether in this State or not, has ordered arbitration of a controversy which is an issue involved in an action or proceeding pending before a court of this State, the court in which such action or proceeding is pending shall, upon motion of a party to such action or proceeding, stay the action or proceeding until an arbitration is had in accordance with the order to arbitrate or until such earlier time as the court specifies." (Code Civ. Proc., § 1281.4.) The action is stayed.

The Court vacates the July 1, 2026 Case Management Conference. The Court will set an OSC re: Status of Arbitration and Stay at the time of the hearing.

The Court declines to award sanctions.

Defendant to give notice.